

Hindustan Unilever Ltd (HINDUNILVR)

Sector: Consumer Staples

ROE

20.1%

ROCE

87.3%

D/E

0.03x

OPM

76.3%

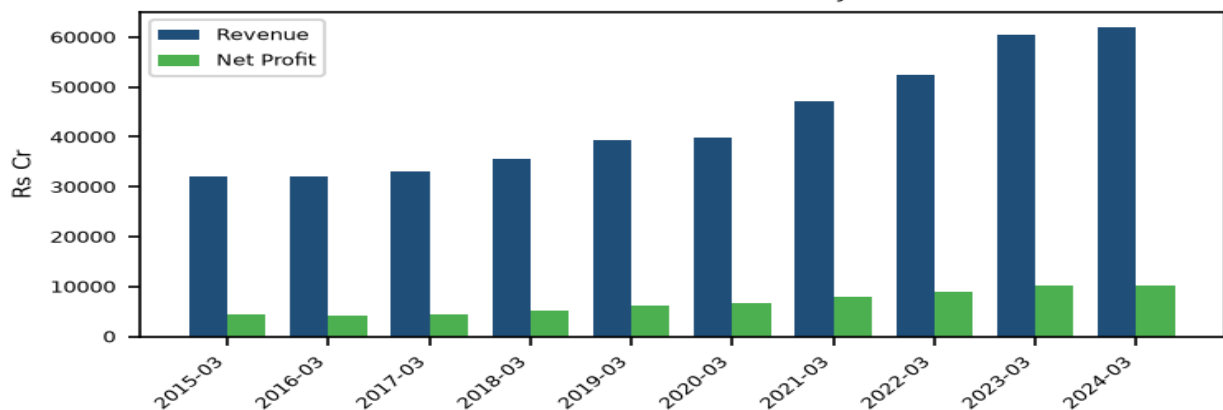
Revenue CAGR 5yr

9.5%

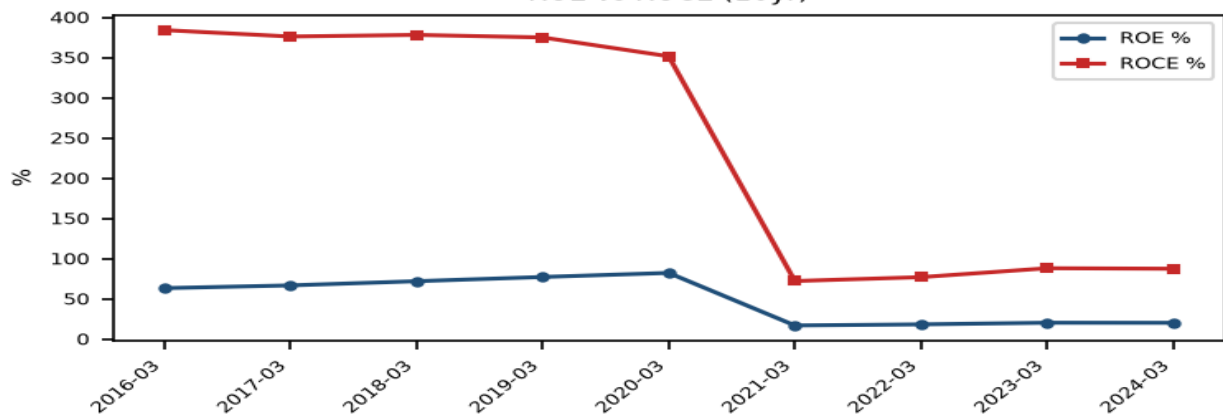
Free Cash Flow

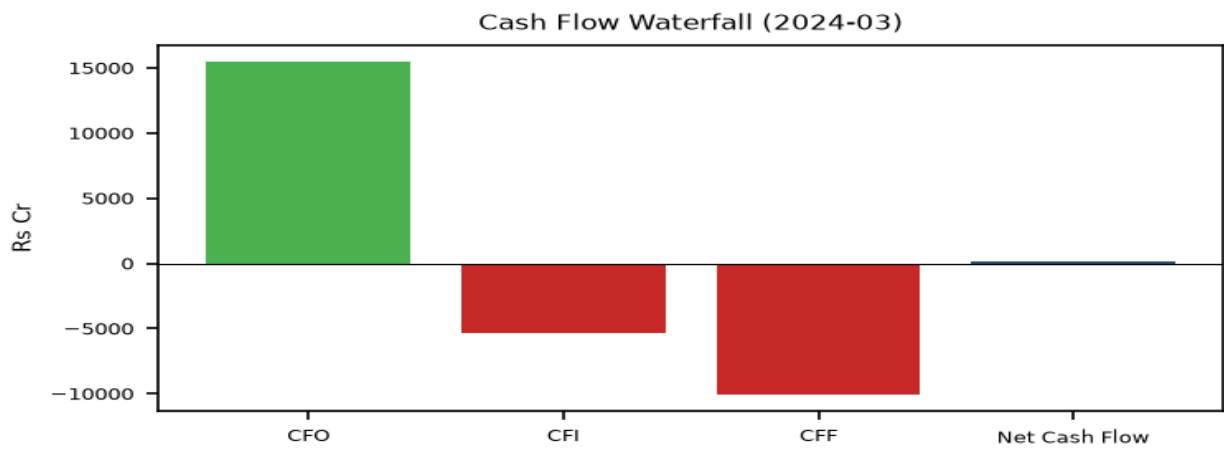
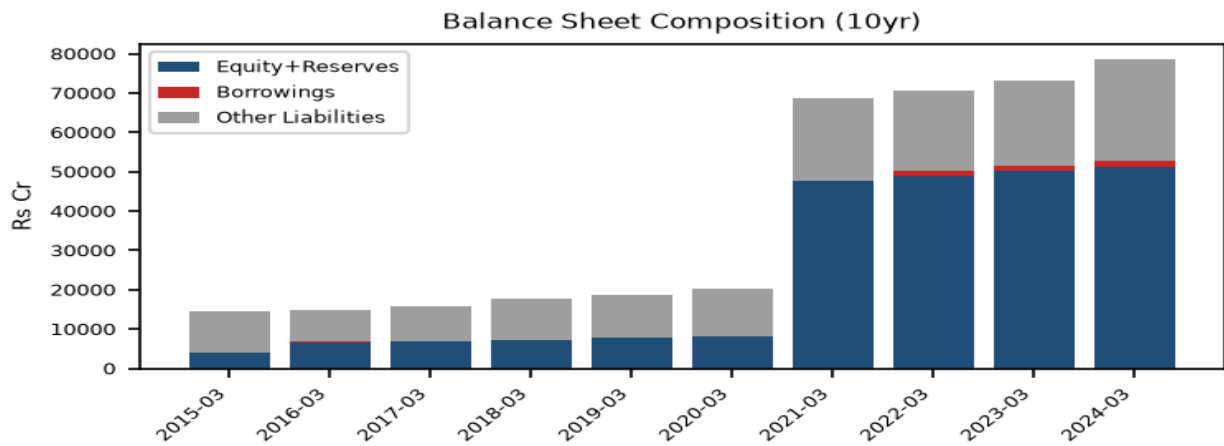
Rs 10,145 Cr

Revenue & Net Profit (10yr)



ROE vs ROCE (10yr)





Pros

- Strong free cash flow generation over 5 years signals healthy business fundamentals
- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Very high interest coverage ratio reflects negligible financial stress from debt servicing
- Consistent dividend yield above 2% backed by positive free cash flow
- Revenue growing slower than profits shows improving operating leverage and scale benefits

Cons

- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk

Capital Allocation: Shareholder Returns